

Green & Social Claims Risk Assessment - Methodology

Purpose

The assessment is a claim-governance screening tool. It reviews green and social claims in public company communication, identifies wording and substantiation risks, separates client-facing communication from reporting or governance documents, and highlights external public-source signals that require verification.

It is not a legal opinion, ESG rating or definitive greenwashing/social-washing finding. It supports legal, compliance, sustainability and communications review.

Regulatory and standards lenses

Lens	How it is used in the scan
EmpCo / Directive (EU) 2024/825	Highest weight for client-facing green claims: generic environmental claims, climate-neutrality or offsetting, labels, comparisons and future environmental-performance claims.
EU Forced Labour Regulation / Regulation (EU) 2024/3015	Applied to product, supplier, responsible-sourcing, traceability, modern slavery, forced-labour-free and import/export readiness claims.
OECD Guidelines, UNGC, UNGP	Broader responsible-business references for human-rights, labour, stakeholder and due-diligence expectations. Normally weighted below direct EmpCo or forced-labour product-market signals.
CSRD / ESRS logic	Evidence and consistency logic: claims should link to policies, actions, targets, metrics, affected stakeholders, value-chain coverage and limitations.

Audience and channel classification

Channel	Treatment in the analysis
Client-facing / consumer-facing websites and documents	Highest wording and substantiation burden. Includes product pages, homepages, campaigns, brochures, folders, store/customer pages and other market-facing materials.
Investor / stakeholder reports	Mainly evidence, governance and consistency sources. Annual, sustainability and ESG reports are not automatically treated as consumer advertising unless wording is reused in market-facing channels.
Policy / internal governance documents	Control and due-diligence evidence. Policies, supplier codes and human-rights statements are not displayed as external public-source signals.

Score calculation

Component	Weight	Meaning
Claim wording risk	30%	Generic, broad, absolute, comparative, climate-neutrality, forced-labour-free, responsible-sourcing or reassurance wording.
Substantiation / evidence gap	30%	Missing scope, methodology, evidence, verification, data, limitations, grievance/remedy, supplier coverage or traceability.
External contradictory context	25%	External stakeholder, media, NGO, regulator, legal or public-source signals relevant to the company and claim area. Company-owned documents are excluded.
Sector exposure	15%	Baseline exposure of the sector to greenwashing or social-washing allegations. This can modify risk but should not alone create High risk.

Direct EmpCo or Forced Labour Regulation signals receive higher weight than broader OECD, UNGC or UNGP-related expectations. High risk should generally require problematic wording plus a substantiation gap and/or relevant external context.

Green claims taxonomy

Claim type	Typical evidence expected
Generic environmental claims	Specific attribute, scope, product coverage, recognised environmental-performance basis and limits.
Climate-neutrality / offsetting	Separate reductions and offsets; disclose scopes, baseline, residual emissions, methodology and progress.
Circularity / recyclability / durability	Product parts covered, percentage, conditions, geography, infrastructure, testing standard and limitations.
Comparative environmental claims	Comparator, baseline, methodology, equivalent product basis, data date and objective evidence.
Labels / certifications	Scheme owner, certification scope, criteria, verification body and validity period.
Future environmental-performance	Implementation plan, milestones, resources, governance, progress indicators and scope limitations.

Social claims taxonomy

Claim type	Typical evidence expected
Worker welfare / people-first	Workforce scope, KPIs, health and safety data, turnover, grievance data, action plans and limitations.
Supplier responsibility / ethical sourcing	Supplier-tier coverage, audit or assessment method, corrective actions, closure rates, grievance/remedy and high-risk geography/product assessment.
Human-rights and labour-rights	Due-diligence process, affected stakeholder groups, salient risks, remediation, escalation and governance ownership.
Diversity, inclusion and customer fairness	Defined groups, metrics, accessibility/customer-remedy evidence, pay equity or discrimination controls where relevant.
Forced labour / modern slavery / traceability	Product and supplier traceability, forced-labour risk assessment, mitigation, grievance/remediation and withdrawal/customs response readiness under Regulation (EU) 2024/3015.

External public-source signal rules

The external-signal section displays only sources external to the company, such as media, regulators, courts, NGOs, civil society or other independent public sources. Company-owned sustainability reports, annual reports, policies, supplier codes, human-rights statements and product pages are excluded from that section. They may still be useful evidence sources, but they are not treated as external stakeholder signals.

Sector exposure and limitations

Sector exposure reflects structural risk drivers such as consumer-facing environmental claims, high-emission products, complex supply chains, labour-intensive sourcing, migrant or seasonal labour, vulnerable consumers, product traceability challenges or controversial sourcing geographies. It is a sensitivity factor only; it does not replace claim-specific evidence analysis.

The output depends on crawler access, available external-search credentials and search-engine results. It should be validated manually before legal, compliance or external communication decisions. Disclaimer: this tool does not provide legal advice, does not establish a violation of EmpCo, the EU Forced Labour Regulation or any other law, and does not make a definitive greenwashing/social-washing finding.